(Bharatiya Kisan Sangh) have rarely seen eye to eye with BJP governments at the Centre, including the first one led by Atal Bihari Vajpayee and Modi 1.0. It was only after the Covid shock that PM Modi initiated the Aatmanirbhar Bharat programme, which the RSS finds much more amenable to their '*swadeshi*' plank. In September, further concessions came from the government via a 47-member committee—most of them linked to the RSS affiliate Sahakar Bharati—formed under ex-Union minister Suresh Prabhu to draft a National Cooperative Policy. Incidentally, the separate ministry for cooperation was formed last year after the Sahakar Bharati demanded it. But even then, there are serious differences between the two sides on issues such as the new free trade agreements or FTAs with developed countries, the procurement process of crops on minimum support price (MSP), and several provisions in the labour code.

In Modi's first term, a *samanvay samiti* (coordination committee) had been institutionalised between RSS affiliates and the BJP, with meetings attended by Union ministers and presided over by then party chief Amit Shah. Sources say in Modi 2.0 too, the ministers have been asked to regularly apprise relevant RSS affiliates and take their inputs but, obviously, there had been some lag. Things seem to be back on course now. On October 3, commerce minister Piyush Goyal hosted an SJM team and gave a presentation on the FTAs being negotiated with different countries.

"We are the conscience-keepers of the government. We don't micromanage their offices, we just give advice as many others do," says a top RSS leader. A Union minister also reiterated that the comments by Hosabale are anyway what "most of us are saying". Of course, sharp, timely reminders are always a big help. Especially when they come from the parent organisation. ■



Illustration by SIDDHANT JUMDE

ECONOMY

Domino Effect

By M.G. Arun

In July this year, the Indian rupee breached the psychological mark of 80 to a dollar for the first time, as the greenback strengthened following a series of interest rate hikes by the US Federal Reserve to tame inflation. After steadying marginally for a while, the rupee once again breached the 80-to-a-dollar mark, sliding to a new low of 81.9 on September 28. Despite slight gains in the following days, it again fell to 81.7 to a dollar on October 3.

India's big concern is that the RBI's measures to stem this slide have been only partially effective so far. Moreover, with the central bank dipping into the country's forex reserves in a bid to halt the rupee's plunge, reserves had fallen to $537.5 billion (Rs 43.9 lakh crore) as on September 23 from the peak of $642 billion (Rs 52.4 lakh crore) on September 3 last year. This is because, on behalf of the RBI, state-run banks resort to a heavy selling of dollars.

Experts see the rupee weakening further in the coming weeks as investors continue to exit the Indian financial markets. For instance, foreign portfolio investors (FPIs) have pulled out Rs 1.68 lakh crore from the Indian stock markets so far in 2022. September alone saw an FPI outflow of Rs 7,600 crore. If the RBI continues to dip into the country's reserves to shore up the rupee, as it will have to, it could lead to a further depletion of the reserves. The country has reserves equivalent to eight months' value of our imports at present. Experts peg the danger mark at four months' value, or lower.

Some experts are of the view that the RBI needs to allow the rupee to depreciate rather than deplete the country's forex reserves to keep shoring it up. "The reason for the rupee falling is mostly due to the dollar strengthening and not the domestic macro financials," says Soumya Kanti Ghosh, group chief economic advisor, State Bank of India. "It will be better to allow the rupee to depreciate a bit. In economic parlance, we call it 'lean with the wind' rather than against it. Things will improve in the next couple of months as the Fed pace of rate hikes

INDIA STARES AT SHRINKING FOREX RESERVES, AS RBI TRIES TO STEM THE RUPEE'S SLIDE